

**PINNACLE PEAK ESTATES III
HOMEOWNER'S ASSOCIATION
ANNUAL MEETING
MINUTES
DECEMBER 2, 2002**

MEMBERS PRESENT: See sign in sheet

Representing Cornerstone Properties, Inc. was Vern Carrillo

CALL TO ORDER: Mike Betka called the meeting to order at 7:15 p.m.

QUORUM / PROOF OF NOTICE: Lee Fletcher stated that quorum was obtained. There were 88 present or in proxy. The annual notice was mailed to all owners in accordance with the documents that govern the association.

MINUTES OF 2001 ANNUAL MEETING: A motion was made and seconded to waive the reading of the minutes and to accept them as written. Motion carried.

INTRODUCTIONS: Mike Betka introduced himself as the President for the association. Each board member present then introduced themselves and their respective position. Vern Carrillo was introduced as the Community Manager.

FINANCIAL REPORT: Nils Anderson reviewed the financial status of the association. The beginning balance is \$30,140.00. There is a 2,400.00 financial management fee budgeted for when Nils steps down as Treasurer. The mailbox refurbishment expense is moved to the 2003 budget. The mailboxes and entry monuments are going to be renovated. Nils explained the mailbox status. A new contractor has started the mailboxes as per specifications. The account balance is estimated at \$43,745.00. There are also \$10,000.00 in deposits for 2003 dues not yet added to the account. The monument restoration is scheduled to be done by the end of 2003. Nils explained the new design of the mailboxes. Demolition of existing columns will be required. A member asked for clarification of pad.

ARC REPORT: Bob Kabrich the ARC chairperson introduced himself and the other members, Ron Gibson, Joe Schneider, and Bob Berlese. He explained the role of the ARC. Any exterior changes require ARC approval. This past year they reviewed 4-5 submittals per month. Some examples are 3 room additions, 1 fence, 2 guest houses, Landscape changes, 6 maintenance issues, (sun screens etc.) house repainting, and 2 new houses. There are 4 lots left for sale. The ARC has 4 members appointed by the board each year. Vern Carrillo makes weekly inspections of the property.

NOMINATIONS / ELECTIONS: Mike explained the role of a board member. He asked the membership present to volunteer to serve on the board. Nils Anderson is the only incumbent to run for the new board. Mike said that the neighborhood is almost built out. The HOA document may be revised as needed to fit the neighborhood. Three new